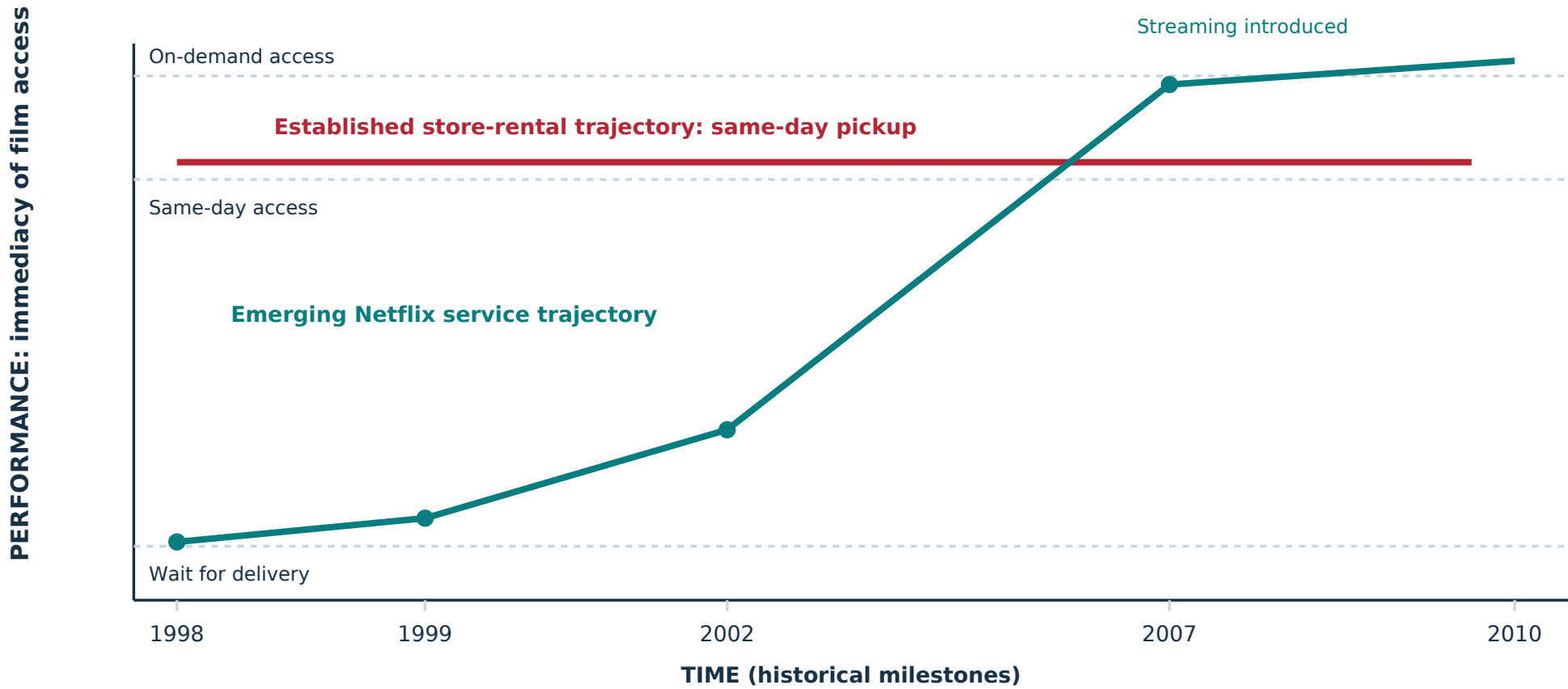


# NETFLIX AND VIDEO RENTAL DISRUPTION

Christensen model / Group 13 / Market: physical home video rental

Entrant: online DVD-by-mail. Incumbent: Blockbuster stores. The original foothold is separated from later streaming.



Conceptual schematic only. Heights are qualitative, not measured scores. No market-share values or causal estimates are plotted.

| 1998                                      | 1999                                       | 2002                                             | 2007                                        | 2010 / 2023                                                 |
|-------------------------------------------|--------------------------------------------|--------------------------------------------------|---------------------------------------------|-------------------------------------------------------------|
| Online DVD rental<br>Netflix, Inc., 2002a | Subscription launch<br>Netflix, Inc., 2003 | Faster regional delivery<br>Netflix, Inc., 2002b | Streaming introduced<br>Netflix, Inc., 2019 | Bankruptcy / DVD closure<br>Institute, n.d.; Sarandos, 2023 |

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## CUSTOMER MAPPING

Mainstream / higher immediacy: viewers seeking a film the same day.  
Early / lower immediacy: viewers willing to wait, including those outside convenient store locations (Christensen Institute, n.d.).

## DIFFERENT VALUE

Web ordering, subscriptions and postal distribution provided an alternative to visiting stores. Lower on this graph means slower access, not lower customer income or film knowledge.

## IMPACT AND LIMITS

Home ordering broadened access options. Later streaming reduced postal waiting for available titles and connected viewers. The 2010 bankruptcy is an outcome marker, not proof of a single cause. The postal service ended in 2023.